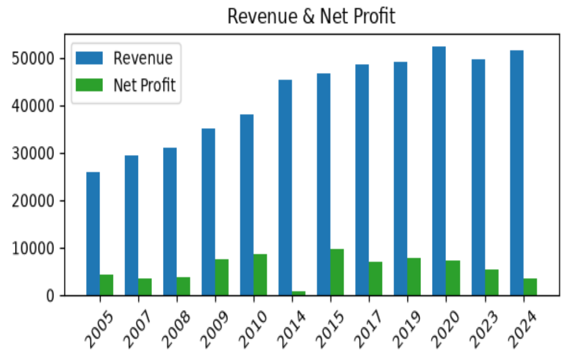
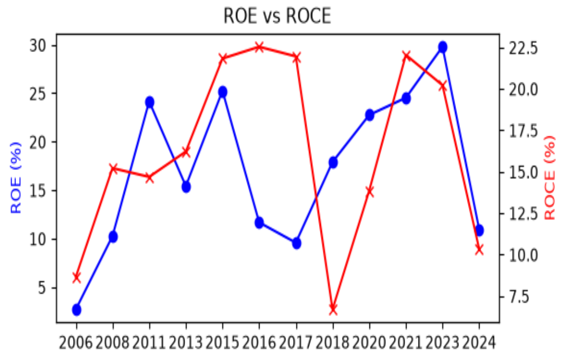
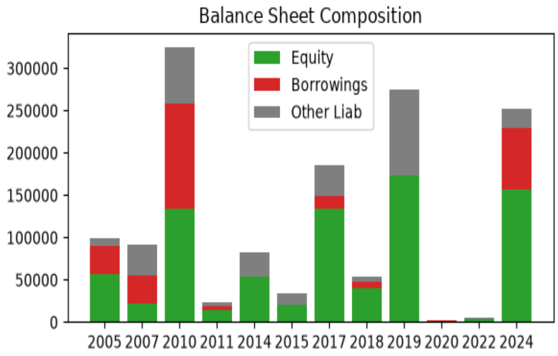
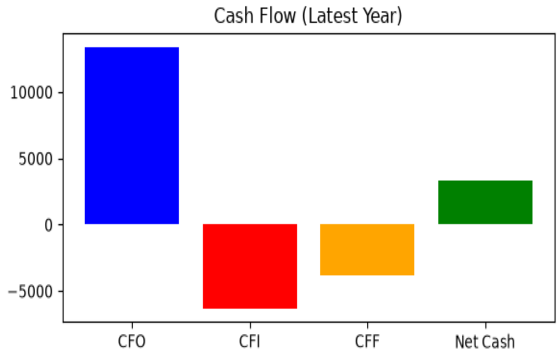
NMDC Ltd (NMDC)

Revenue	Rs. 51410.3 Cr	Net Profit	Rs. 3526.9 Cr	OPM	19.7%
ROE	10.9%	ROCE	10.3%	D/E	2.39









Capital Allocation Pattern: Deleveraging

Pros:

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Consistent dividend yield above 2% backed by positive free cash flow

Cons:

- Debt-to-equity ratio of 2.4 is elevated for a non-financial company and warrants monitoring
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum